

CHAPTER 3

Money and Credit

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Try each question yourself first, then check the answer. 💡
answers are samples: write your own.

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💬 Discuss · Money as a Medium of Exchange

? Identify several transactions involving money in any single day. Can you make a list of these?

💡 SAMPLE ANSWER

- Buying milk, vegetables and groceries from shops (goods for money).
- Paying bus or auto fare (service for money).
- Paying school fees or a tuition teacher.
- Paying the electricity or mobile recharge bill.
- Buying on credit from the local shop and promising to pay at the end of the month (no money paid now, only a promise to pay later).

⭐ Let's Work These Out · Money as a Medium of Exchange

1 How does the use of money make it easier to exchange things?

✔ ANSWER

- In barter, both people must want each other's goods: this is **double coincidence of wants**, which is hard to find.
- Money acts as an **intermediate** in exchange. A person first sells his goods for money and then uses the money to buy anything he wants.

- Example: a shoe maker need not find a farmer who wants shoes and also sells wheat. He only finds a buyer for his shoes, then buys wheat with the money.
- So money removes the need for double coincidence of wants. That is why it is called a **medium of exchange**.

2 **Can you think of some examples of goods / services being exchanged or wages being paid through barter?**

💡 SAMPLE ANSWER

- In some villages, farm labourers are paid wages in grain (wheat or rice) instead of cash.
- A farmer gives grain to the village barber, carpenter or potter in return for their services.
- Old newspapers or old clothes are exchanged for steel utensils with a hawker.
- Neighbours exchange vegetables from their kitchen gardens.

⭐ Let's Work These Out · Modern Forms of Money

1 **M. Salim wants to withdraw Rs 20,000 in cash for making payments. How would he write a cheque to withdraw money?**

✔ ANSWER

- Write the **date** on the cheque.
- In the 'Pay' line write **"Self"** (since he is taking the money himself).
- Write the amount in words: **Rupees Twenty Thousand only**, and in figures: **Rs 20,000/-**.
- **Sign** the cheque as in his bank records (sign also on the back for cash withdrawal).
- Give the cheque at his bank branch and collect Rs 20,000 in cash. The amount is taken out of his account.

2 **Tick the correct answer. After the transaction between Salim and Prem,**

(i) Salim's balance in his bank account increases, and Prem's balance increases.

(ii) Salim's balance in his bank account decreases and Prem's balance increases.

(iii) Salim's balance in his bank account increases and Prem's balance decreases.

✔ ANSWER

(ii) Salim's balance in his bank account decreases and Prem's balance increases.

Salim (the payer) paid by cheque, so money moved from his account to Prem's (the leather supplier's) account.

3 **Why are demand deposits considered as money?**

✔ ANSWER

- Deposits in bank accounts can be **withdrawn on demand**, so they are called demand deposits.
- Using **cheques** against these deposits, people can pay directly without using cash.
- Demand deposits are **widely accepted** as a means of payment, along with currency.
- So they share the essential feature of money (a medium of exchange) and are counted as money in the modern economy.

💬 Discuss · Loan Activities of Banks

? What do you think would happen if all the depositors went to ask for their money at the same time?

💡 SAMPLE ANSWER

- Banks keep only about **5 per cent** of their deposits as cash; most of the money is given out as loans.
- So the bank would not have enough cash to pay all depositors at once.
- Many depositors would be sent back, they would panic, and people would lose trust in the bank.
- The bank could fail (close down). This is why the RBI makes banks keep a minimum cash balance and supervises them.

Let's Work These Out · Two Different Credit Situations

1 **Fill the following table for Salim and Swapna: Why did they need credit? / What was the risk? / What was the outcome?**

✔ ANSWER

	Salim	Swapna
Why did they need credit?	To meet the working capital needs of production: hire more workers and buy raw materials to complete an order of 3,000 pairs of shoes on time	To meet the expenses of cultivation (seeds, fertilisers, pesticides etc.) on her three acres of groundnut
What was the risk?	Low: he had a confirmed order from a large trader and an advance payment; only risk was failing to deliver on time	High: crop could fail due to pests or bad weather; loan was from a moneylender at high interest
What was the outcome?	He delivered the order, made a good profit and repaid the loans	The crop failed, debt grew, she was caught in a **debt-trap** and had to sell part of her land

2 **Supposing Salim continues to get orders from traders. What would be his position after 6 years?**

💡 SAMPLE ANSWER

- He will keep earning good profits and repaying his loans on time.
- His earnings and savings will increase; he may expand his business, buy machines and hire more workers.
- He may need less credit, or get credit more easily because lenders trust him.
- So he will be much better off after 6 years.

3 **What are the reasons that make Swapna's situation so risky? Discuss factors – pesticides; role of moneylenders; climate.**

✔ ANSWER

- **Pesticides:** her crop was hit by pests; even expensive pesticides made little difference, so her costs rose but the crop still failed.
- **Role of moneylenders:** she borrowed from a moneylender, who charges very high interest, so the unpaid debt grew into a large amount within a year.
- **Climate:** farming depends on rain and weather; a drought, flood or bad weather can ruin the crop.

- Repayment depends fully on farm income, and she had no support (such as insurance) in case of loss.
- So credit pushed her into a debt-trap and she had to sell part of her land.

🧪 Activity · A House Loan

? Fill the following details of Megha's housing loan: Loan amount, Duration of loan, Documents required, Interest rate, Mode of repayment, Collateral.

✔ ANSWER

Detail	Megha's loan
Loan amount (in Rupees)	Rs 5 lakhs (Rs 5,00,000)
Duration of loan	10 years
Documents required	Employment records and salary documents
Interest rate	12 per cent per year
Mode of repayment	Monthly instalments
Collateral	Papers of the new house (kept by the bank till the full loan with interest is repaid)

⭐ Let's Work These Out · Terms of Credit

1 **Why do lenders ask for collateral while lending?**

✔ ANSWER

- Collateral is an asset of the borrower (land, building, vehicle, livestock, bank deposits) used as a **guarantee** till the loan is repaid.
- If the borrower fails to repay, the lender has the right to **sell the collateral** and get the money back.
- So collateral protects the lender against the risk of non-repayment.

2 **Given that a large number of people in our country are poor, does it in any way affect their capacity to borrow?**

✔ ANSWER

Yes, poverty reduces their capacity to borrow from formal sources:

- Poor people have **no collateral** (land, house, deposits) to offer to banks.
- They often lack proper **documents** such as salary or employment records.
- Their incomes are low and uncertain, so banks see them as risky borrowers.

- So they depend on moneylenders and other informal lenders who charge high interest, which can trap them in debt.

3 **While taking a loan, borrowers look for easy terms of credit. This means ____ (low/high) interest rate, ____ (easy/tough) conditions for repayment, ____ (less/more) collateral and documentation requirements.**

✔ ANSWER

low interest rate, **easy** conditions for repayment, **less** collateral and documentation requirements.

⭐ Let's Work These Out · Variety of Credit Arrangements (Sonpur)

1 **List the various sources of credit in Sonpur.**

✔ ANSWER

- Village moneylender
- Agricultural trader
- Bank (commercial bank)
- Landowner-employers (for landless labourers like Rama)
- Krishak Cooperative (a cooperative society near Sonpur)

2 **Underline the various uses of credit in Sonpur in the above passages.**

✔ ANSWER

Uses of credit mentioned in the passages:

- Cultivation / buying farm inputs (Shyamal, Arun)
- A fresh loan against the cold storage receipt for stored potatoes (Arun)
- Daily expenses when there is no work (Rama)
- Sudden illnesses and functions in the family (Rama)
- Krishak Cooperative: purchase of agricultural implements, cultivation and agricultural trade, fishery, construction of houses and other expenses

3 **Compare the terms of credit for the small farmer, the medium farmer and the landless agricultural worker in Sonpur.**

✔ ANSWER

Terms	Small farmer (Shyamal)	Medium farmer (Arun)	Landless worker (Rama)
Source	Agricultural trader (earlier moneylender)	Bank	Landowner-employer

Interest	3% per month (earlier 5% per month = 60% a year)	8.5% per annum	5% per month
Repayment	When the crop is ready for harvest; must also sell the crop to the trader	Anytime in the next three years	By working for the landowner
Collateral	None; promise to sell crop	Land; cold storage receipt for a fresh loan	None; her labour

Arun gets the cheapest and easiest credit; Shyamal and Rama pay very high interest on hard terms.

4 **Why will Arun have a higher income from cultivation compared to Shyamal?**

✔ ANSWER

- Arun borrows from the bank at only **8.5% per annum**, while Shyamal pays the trader **3% per month** (36% a year).
- Arun can repay anytime in three years and can store potatoes in cold storage and sell later at a better price.
- Shyamal must sell his crop to the trader just after harvest, when prices are **low**.

- Arun also has more land (7 acres vs 1.5 acres).
- So Arun's cost of borrowing is lower and his selling price higher, giving him a higher income.

5 **Can everyone in Sonpur get credit at a cheap rate? Who are the people who can?**

✔ ANSWER

- No. Only a few people can get cheap credit.
- People like **Arun**, who own more land and can give collateral, get bank loans at a low rate (8.5% per annum).
- Members of the **Krishak Cooperative** can also get cheaper loans.
- Small farmers (Shyamal) and landless labourers (Rama) have to borrow from traders, moneylenders and landowners at high interest.

6 (i) **Tick the correct answer. Over the years, Rama's debt: will rise / will remain constant / will decline.**

✔ ANSWER

Will rise.

She takes fresh loans before the old one is repaid, at 5% per month, so her debt keeps growing.

6 (ii) **Arun is one of the few people in Sonpur to take a bank loan because: other people prefer moneylenders / banks demand collateral which everyone cannot provide / interest rate on bank loans is same as that charged by traders.**

✔ ANSWER

Banks demand collateral which everyone cannot provide.

Arun owns seven acres of land; most others do not have such assets to offer.

7 **Talk to some people to find out the credit arrangements that exist in your area. Record your conversation. Note the differences in the terms of credit across people.**

💡 SAMPLE ANSWER

Model record (your survey will differ):

Person	Source	Interest	Collateral / terms
Shopkeeper	Bank (business loan)	About 10% per year	Shop papers, bank statements
Government employee	Bank (personal loan)	About 11% per year	Salary slips; monthly instalments

Daily wage worker	Moneylender	About 5% per month	No collateral; harsh recovery
Woman in SHG	Self Help Group	Lower than moneylender	No collateral; group guarantee

Finding: people with regular income and assets get cheaper formal loans; the poor pay much more.

💬 Discuss · Formal Sector Credit in India (Graph 1 and Graph 2)

? In Graph 1 (Sources of credit in rural India, 2019), is more credit coming from the formal sector or the informal sector?

✔ ANSWER

- Formal sector: Commercial Banks 51% + Cooperative Banks and Society 10% + Other Formal Agencies 5% = **66%**.
- Informal sector: Moneylenders 23% + Relatives and Friends 7% + Other Informal Agencies 3% + Landlords 1% = **34%**.
- So more credit (about two-thirds) comes from the **formal sector**, but about one-third still comes from informal sources.

? Graph 2: 54 per cent of the loans of poor urban households are from informal sources.

Compare this with the rich urban households. What do you find?

✔ ANSWER

- Rich urban households take only **17%** of their loans from informal sources and **83%** from formal sources.
- So the rich get cheap credit from formal lenders, while the poor depend more on costly informal loans.
- A similar pattern is found in rural areas.

⭐ Let's Work These Out · Formal Sector Credit in India

1 **What are the differences between formal and informal sources of credit?**

✔ ANSWER

Formal sources	Informal sources
Banks and cooperatives	Moneylenders, traders, employers, relatives and friends
Supervised by the Reserve Bank of India	No organisation supervises them
Lower interest rates	Much higher interest rates
Need collateral and documents	Often give loans without collateral
Follow rules; no unfair means of recovery	May use unfair means to get money back

2 **Why should credit at reasonable rates be available for all?**

✔ ANSWER

- High cost of borrowing means a large part of earnings goes in repaying the loan, so borrowers have less income left.
- High interest can make the amount to be repaid greater than income, leading to a **debt-trap**.
- People may not start a business because borrowing is costly.
- Cheap credit lets people grow crops, do business, set up small-scale industries and earn more.
- So cheap and affordable credit for all is crucial for the country's development.

3 **Should there be a supervisor, such as the Reserve Bank of India, that looks into the loan activities of informal lenders? Why would its task be quite difficult?**

✔ ANSWER

Yes, a supervisor is needed to stop very high interest rates, unfair means of recovery and harassment of poor borrowers.

Its task would be difficult because:

- Informal lenders (moneylenders, traders, landlords, relatives) are spread across lakhs of villages and towns.

- They are not registered and **keep no records** of their loans.
- Loans are personal and often oral, so terms are hard to check.
- Poor borrowers fear losing their only source of credit and may not complain.

4 **Why do you think that the share of formal sector credit is higher for the richer households compared to the poorer households?**

✔ ANSWER

- Banks ask for **collateral** (land, house, deposits); rich households have such assets, the poor do not.
- Banks need proper **documents** of income; the rich have regular, recorded incomes.
- The rich are seen as low-risk borrowers who can repay.
- Banks are not present everywhere, and the poor find bank procedures difficult, so they turn to moneylenders who know them personally.

📝 Exercises

1 **In situations with high risks, credit might create further problems for the borrower. Explain.**

✔ ANSWER

- When the risk is high (e.g. crop failure due to pests, drought or floods), the borrower may not earn enough to repay the loan.
- The unpaid loan, with interest, grows into a larger debt.
- The borrower takes a fresh loan to repay the old one and gets caught in a **debt-trap**.
- He may have to sell assets such as land to repay.
- Example: Swapna's groundnut crop failed; her debt to the moneylender grew and she had to sell part of her land.

So in high-risk situations credit can leave the borrower worse off than before.

2 **How does money solve the problem of double coincidence of wants? Explain with an example of your own.**

✔ ANSWER

- In barter, what one person wants to sell must be exactly what the other wants to buy. This **double coincidence of wants** is rare.

- Money acts as a **medium of exchange** (an intermediate step), so this coincidence is not needed.
- Example: a potter wants rice. In barter he must find a rice farmer who also needs pots. With money, he sells pots to anyone for money and then buys rice from any farmer.

Thus money makes exchange easy and quick.

3 **How do banks mediate between those who have surplus money and those who need money?**

✔ ANSWER

- People with extra money (**depositors**) keep it in banks and earn interest.
- Banks keep only a small part (about 5%) as cash to meet daily withdrawals.
- The major portion of deposits is given as **loans** to people who need money (**borrowers**).
- Banks charge a higher interest on loans than they pay on deposits; the difference is their main source of income.

In this way banks link depositors and borrowers.

4 **Look at a 10 rupee note. What is written on top? Can you explain this statement?**

✔ ANSWER

On top is written **"Reserve Bank of India"** and **"Guaranteed by the Central Government"**. The note also says "I promise to pay the bearer the sum of ten rupees", signed by the Governor.

- The RBI issues currency notes on behalf of the central government.
- The note is authorised by the government, so it is accepted as a medium of exchange though it has no use of its own.
- By law no individual in India can refuse a payment made in rupees.
- The promise means the RBI guarantees the value of the note to whoever holds it.

5 **Why do we need to expand formal sources of credit in India?**

✔ ANSWER

- The formal sector still meets only about half of the total credit needs of rural people; the rest comes from informal lenders.
- Informal lenders charge very high interest, keep no records and may harass borrowers.
- High-cost loans take away much of the borrowers' income and can lead to a debt-trap.
- Formal loans are cheaper and supervised by the RBI.

- Cheap credit helps people grow crops, start businesses and small industries and earn more.

So formal credit must expand, especially in rural areas, and reach the poor too.

6 **What is the basic idea behind the SHGs for the poor? Explain in your own words.**

✔ ANSWER

- The idea is to organise rural poor, especially **women**, into small groups of 15–20 members from one neighbourhood.
- Members meet and **save regularly** (Rs 25 to Rs 100 or more each) and pool their savings.
- Members take small loans from the group at a lower interest than the moneylender.
- After a year or two of regular saving, the group gets **bank loans without collateral**; the group is responsible for repayment.
- Loans are used for self-employment: releasing mortgaged land, seeds, raw materials, sewing machines, cattle etc.
- SHGs make women financially self-reliant and give a platform to discuss issues like health, nutrition and domestic violence.

7 **What are the reasons why the banks might not be willing to lend to certain borrowers?**

✔ ANSWER

- They have **no collateral** (land, house, deposits) to offer.
- They lack proper **documents** of income or employment.
- Their income is low or uncertain, so the risk of non-repayment is high.
- They have not repaid earlier loans.
- Their activity is very risky (e.g. farming that depends on rain).

8 **In what ways does the Reserve Bank of India supervise the functioning of banks? Why is this necessary?**

✔ ANSWER

Ways:

- It checks that banks actually keep a **minimum cash balance** out of their deposits.
- It sees that banks give loans not only to profit-making businesses and traders but also to **small cultivators, small-scale industries and small borrowers**.
- Banks must periodically report to the RBI how much they lend, to whom and at what interest rate.

Why necessary:

- To protect depositors' money and keep trust in banks.

- To make sure credit reaches the poor and small borrowers at fair rates, which is needed for development.

9 **Analyse the role of credit for development.**

✔ ANSWER

Credit (loan) plays a vital role in economic activities:

- It meets **working capital** needs: farmers buy seeds and fertilisers, producers buy raw materials and hire workers (e.g. Salim).
- It helps complete production on time and **increase earnings**.
- It helps people start new businesses, small-scale industries and trade, creating jobs.
- Cheap and affordable credit raises incomes and helps the whole country develop.
- But costly credit or credit in high-risk situations can push borrowers into a **debt-trap** (e.g. Swapna).

So credit helps development when it is cheap, fair and available to all, especially from formal sources.

10 **Manav needs a loan to set up a small business. On what basis will Manav decide whether to borrow from the bank or the moneylender? Discuss.**

💡 SAMPLE ANSWER

Manav will compare the **terms of credit**:

- **Interest rate:** a bank charges much less than a moneylender.
- **Collateral:** a bank needs collateral (property, deposits); a moneylender may lend without it.
- **Documents:** a bank needs proof of identity, income and a business plan; a moneylender needs few papers.
- **Mode of repayment:** a bank gives fixed instalments over a longer time; moneylenders may use unfair means to recover.
- **Time and ease:** a moneylender gives money quickly.

If Manav has collateral and documents, the bank is better as it is cheaper and safer; otherwise he may be forced to borrow from the moneylender at high cost.

11 (a) **In India, about 80 per cent of farmers are small farmers, who need credit for cultivation. Why might banks be unwilling to lend to small farmers?**

✔ ANSWER

- Small farmers have little land or other assets to give as **collateral**.
- They often lack proper documents.
- Farming is risky (pests, drought, floods), so repayment is uncertain.

- Loans are small, and banks are not present in many villages.

11 (b) **What are the other sources from which the small farmers can borrow?**

✔ ANSWER

- Moneylenders
- Traders (agricultural traders)
- Big landlords / employers
- Relatives and friends
- Cooperative societies and Self Help Groups (SHGs)

11 (c) **Explain with an example how the terms of credit can be unfavourable for the small farmer.**

✔ ANSWER

- Shyamal, a small farmer in Sonpur, borrowed from the moneylender at **5% per month (60% a year)**, and later from a trader at **3% per month**.
- The trader also made him promise to **sell his crop to him** at harvest, when prices are low.
- So Shyamal paid high interest and also got a low price for his crop; little income was left for him.
- Similarly Swapna's moneylender loan grew so large that she had to sell part of her land.

11 (d) **Suggest some ways by which small farmers can get cheap credit.**

✔ ANSWER

- Banks should open more branches in rural areas and lend more to small farmers.
- Farmers can join **cooperative societies** (like Krishak Cooperative) for cheap loans.
- They can form **Self Help Groups** and get bank loans without collateral.
- The government and RBI can make banks give a share of loans to small cultivators at low interest.
- Crop insurance and loans against cold storage receipts can reduce risk.

12 **Fill in the blanks:**

(i) Majority of the credit needs of the ____ households are met from informal sources.

(ii) ____ costs of borrowing increase the debt-burden.

(iii) ____ issues currency notes on behalf of the Central Government.

(iv) Banks charge a higher interest rate on loans than what they offer on ____.

(v) ____ is an asset that the borrower owns and uses as a guarantee until the loan is repaid to the lender.

✔ ANSWER

(i) **poor**

(ii) **High**

(iii) **Reserve Bank of India**

(iv) **deposits**

(v) **Collateral**

13 (i) **In a SHG most of the decisions regarding savings and loan activities are taken by (a) Bank (b) Members (c) Non-government organisation.**

✔ ANSWER

(b) Members. The group members decide the purpose, amount, interest and repayment schedule of loans.

13 (ii) **Formal sources of credit does not include (a) Banks (b) Cooperatives (c) Employers.**

✔ ANSWER

(c) Employers. Employers are informal lenders; banks and cooperatives are formal sources.

🧪 Additional Project / Activity

? **What are the purposes for which the following people might need loans? Fill in the column.**

Construction worker; Graduate student who is computer literate; A person employed in government service; Migrant labourer in

Delhi; Household maid; Small trader; Autorickshaw driver; A worker whose factory has closed down.

Next, classify the people into two groups: those who might get a bank loan and those who might not. What is the criterion?

💡 SAMPLE ANSWER

Occupation	Reason for needing a loan
Construction worker	Daily expenses when there is no work, illness, family functions
Graduate student who is computer literate	Higher studies, buying a computer, starting a small IT business
Person employed in government service	Buying or building a house, a vehicle, children's education
Migrant labourer in Delhi	Rent and food on arrival, sending money home, illness
Household maid	Children's school fees, illness, family functions
Small trader	Working capital: buying stock, expanding the shop
Autorickshaw driver	Buying his own autorickshaw, repairs
Worker whose factory has closed down	Daily household expenses till he finds new work

Might get a bank loan: government employee, small trader, graduate student (education loan), autorickshaw driver (vehicle as collateral).

Might not get a bank loan: construction worker, migrant labourer, household maid, worker whose factory has closed down.

Criterion: a regular, recorded income and ability to give collateral and documents (low risk of non-repayment).

🎉 **Chapter 3 done! Revise the answers once more tomorrow.**